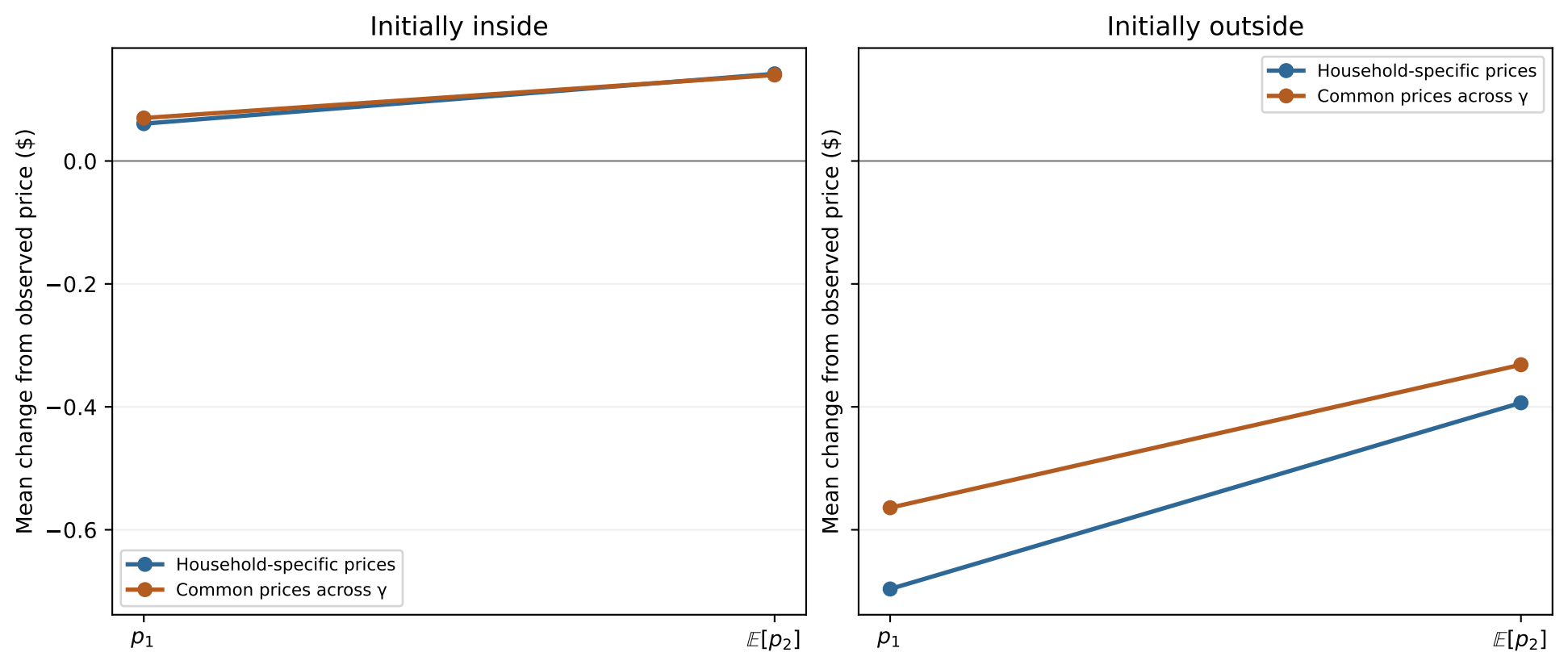
Initially inside
Initially outside
Mean change from observed price ($)
0.0
−0.2
−0.4
−0.6
Household-specific prices
Common prices across γ
p_1
$\mathbb{E}[p_2]$